

SS 2 ECONOMICS WEEKS 1-6

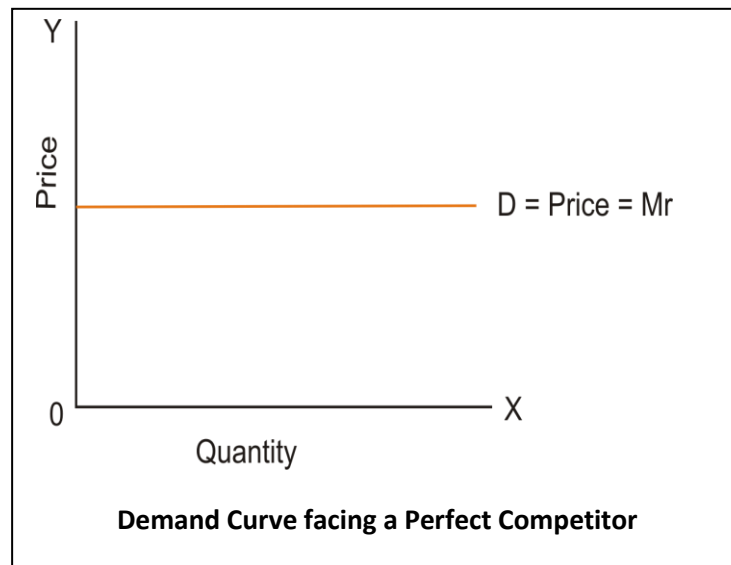
WEEK: ONE

TOPIC: PRICE DETERMINATION

Price and Quantity Determination under Perfect Competition

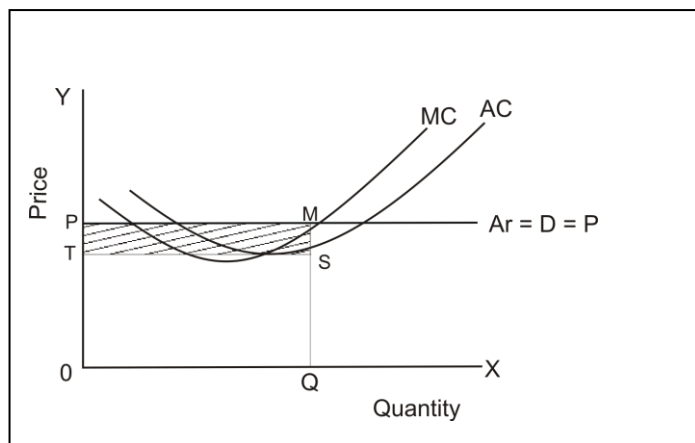
Price Determination

Under perfect competition, price is determined by the forces of demand and supply since no single firm can dictate the price of its good. Firms in perfect competitive market are price takers. Therefore, firm's individual demand curve has a horizontal Price line. The demand curve is perfectly elastic. This is illustrated in the diagram below:



Quantity Determination

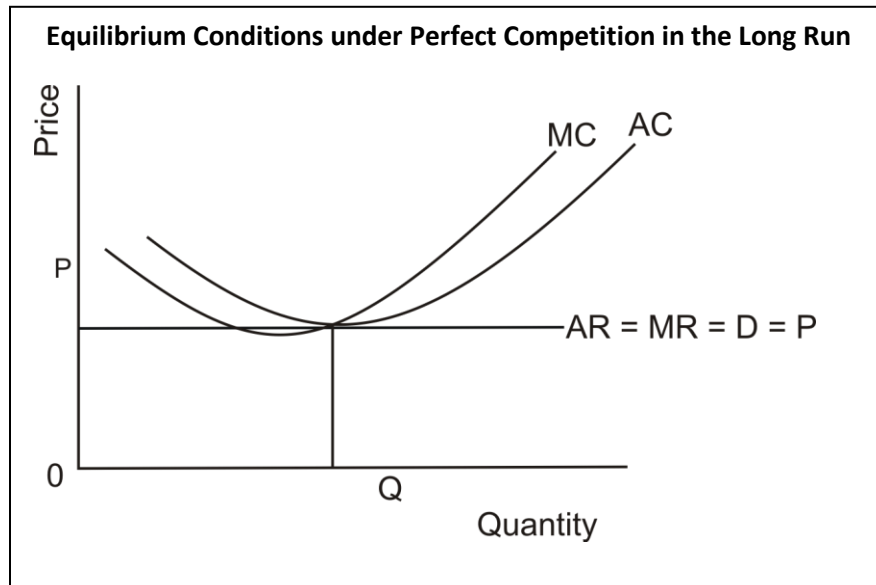
Under perfect competition, profit is maximized at the level of output where marginal cost equals marginal revenue. However, it is possible for the firm to make abnormal profit in the short run. Since the firm's marginal and average costs fall with increasing output, he can sell at a price higher than the marginal cost of production, thereby earning abnormal profit. This is shown in the diagram below



In the diagram above, while the MC and AC are falling, the firm makes an abnormal profit of PMST. OPMQ is the total revenue while OTSQ is the total cost of production, hence the profit PMST.

However, in the long run, the abnormal profits of perfect competition firms are wiped off. He is in equilibrium and makes normal profit. Equilibrium is achieved when the firm produces the level of output at which: $MC = MR = AC = AR = MR = D = P$

This is shown in the diagram below:



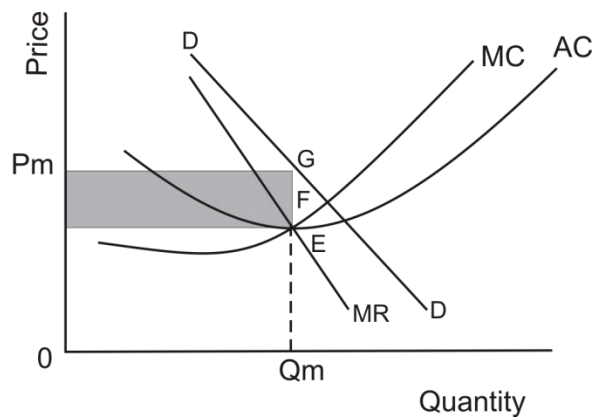
Price and Quantity Determination under Monopoly

A monopoly has the power to determine either price or output but not both at the same time.

Unlike an individual firm under perfect competition, who faces a horizontal demand curve, a monopolist faces a downward sloping average revenue or demand curve. This means that the monopolist can sell more only by reducing his price. His demand curve is price inelastic.

Monopoly Price Determination

Like the perfectly competitive firm, a monopolist will maximize his profit by producing the quantity that equates marginal cost with marginal revenue. This means that the monopolist will continue to expand his output as long as marginal cost does not exceed marginal revenue. He can therefore make abnormal profits both in the short run and in the long run. This is illustrated in the diagram below:



Evaluation (Students)

- Explain the determination of equilibrium price and quantity
- State the effects of changes in demand and supply on the equilibrium price and quantity

Assignment:

- Explain the concepts of supply and demand in price determination.
- Analyze the impact of change in demand and supply on market equilibrium

WEEK: TWO

TOPIC: PRICE DETERMINATION II

Elasticity of Demand

This measures the degree of responsiveness of quantity of a commodity demanded to changes in the price of the commodity or to changes in income or taste of the consumer or to changes in prices of other commodities. This definition breaks down the various segments in which elasticity of demand will be examined:

Types of Elasticity of Demand

- a. Price Elasticity of Demand
- b. Income Elasticity of demand
- c. Cross Elasticity of Demand
- a. Price Elasticity of Demand

This measures the degree of responsiveness of demand for a particular commodity to a small change in the price of such commodity. Price elasticity of demand is often called the 'Elasticity of Demand'

The formula for Price Elasticity of Demand is:

$$Ed = \frac{\text{Percentage Change in Quantity Demanded}}{\text{Percentage change in Price}}$$

OR

$$Ed = \frac{\text{Change in Quantity Demanded}}{\text{Initial Quantity demanded}} \div \frac{\text{Change in Price}}{\text{Initial Price}}$$

Symbolically, $Ed = \frac{\Delta Q}{Q} \div \frac{\Delta P}{P}$

$$Q_i \quad P_i$$

Where: ΔQ = Change in Quantity Demanded

ΔP = change in Price

Q_i = Initial Quantity demanded

P_i = Initial Price of the commodity

b. Income Elasticity of Demand

This measures the degree of responsiveness of quantity demanded to changes in income. In other words, income elasticity of demand can be described as the percentage change in quantity resulting from percentage change in a consumer's income.

The formula for Income Elasticity of Demand is:

$$E_i = \frac{\text{Percentage Change in Quantity Demanded}}{\text{Percentage change in Income}}$$

OR

$$E_i = \frac{\text{Change in Quantity Demanded}}{\text{Initial Quantity demanded}} \times \frac{\text{Change in Income}}{\text{Initial Income}}$$

$$\text{Symbolically, } E_d = \frac{\Delta Q}{Q_i} \times \frac{\Delta I}{I_i}$$

c. Cross Elasticity of Demand

This is the degree of responsiveness of quantity demanded of a particular commodity to changes in the price of another similar commodity.

The formula for Price Elasticity of Demand is:

$$E_d = \frac{\text{Percentage Change in Quantity Demanded of Commodity X}}{\text{Percentage change in Price of Commodity Y}}$$

OR

$$E_{xy} = \frac{\text{Change in Quantity Demanded of Commodity X)}{\text{Initial Quantity demanded of Commodity X}} \times \frac{\text{Change in Price of commodity Y}}{\text{Initial Price of Commodity Y}}$$

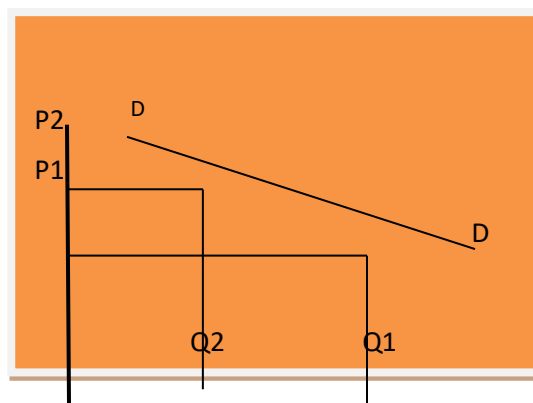
$$\text{Symbolically, } E_{xy} = \frac{\Delta Q_x}{Q_x} \times \frac{\Delta P_y}{P_y}$$

In each of the measures of elasticity above, if the coefficient is greater than 1, demand is said to be **elastic**. If the coefficient is less than 1, demand is **inelastic**. But if it is equal to 1, elasticity of demand is said to be **unitary**.

Three Degrees of Elasticity

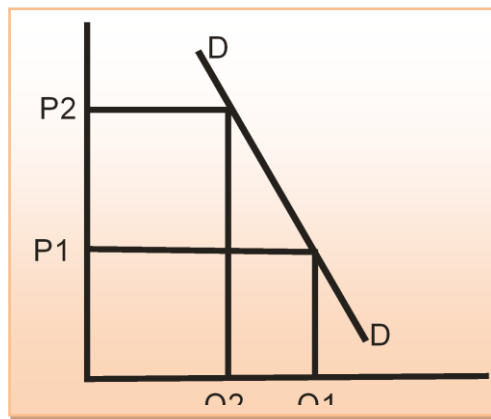
- Elastic Demand: demand is elastic if a little or slight change in price or income brings about a larger proportional change in the quantity demanded of a commodity. Here, the coefficient of elasticity of demand is greater than one (i.e. $e > 1$).

The graphical illustration of the Elastic demand is given thus:



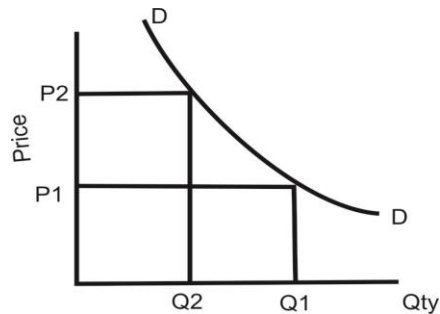
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- b. Inelastic Demand: Demand is inelastic if a little change in price or income leads a less than proportional change in the quantity demanded. Here, the coefficient of the elasticity of demand is less than one (i.e. < 1).

The graphical illustration of inelastic demand is thus:



- c. Unitary Elastic Demand: Demand is unitary if a change in price or income brings about the same proportional change in the quantity demanded.

The graphical illustration of unitary demand is drawn below:

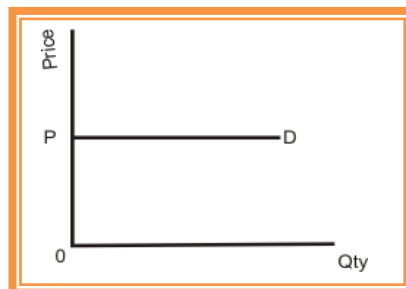


The above cases are Normal cases of Elasticity of Demand. But there are two abnormal cases

Abnormal Elasticity of Demand

- a. Perfectly Elastic Demand or Infinitely Elastic Demand
 - b. Perfectly Inelastic Demand or Zero Elastic Demand
- a. Perfectly Elastic Demand or Infinitely Elastic Demand
- This is the case in which consumers are willing to purchase any or all the quantity that is offered for sale at the prevailing price, but will buy none at all at any slight increase in price.
- The coefficient of Perfectly Elastic Demand is infinite (i.e. $e = \infty$)

Graphically, this can be illustrated as:

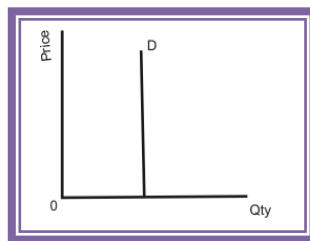


Perfectly Inelastic Demand or Zero Elastic Demand

This occurs when a change in price does not affect any change in quantity demanded. A good example of good that falls into this category is salt. People will demand for same amount of salt regardless the price.

The coefficient of elasticity of this demand is 0 (i.e. $E = 0$)

Its Perfectly Inelastic Demand is graphically illustrated thus:



EVALUATION (STUDENTS)

1. Explain the Concept of Elasticity of Demand
2. How can you solve simple application of price theory

ASSIGNMENT

With the aid of a diagram, explain the following:

1. Unitary elastic demand
2. Perfect elastic demand
3. Perfect Inelastic demand

WEEK: THREE

TOPIC: MARKET STRUCTURES

Concept of Market

Concept of Market

In everyday speech, market refers to a fixed place where people meet to buy and sell. But in relation to Economics, market does not necessarily refer to a fixed place. It is defined as any arrangement, system or organization whereby buyers and sellers of goods and services are brought into contact and can transact business with one another. The means of contact could be through internet, phone, letter or telegraphic system or a fixed place like the regular marketplace.

Types of Market

Market could be classified based on the types of commodities bought and sold (i.e. consumer goods market, labour market and capital and money market), or on the basis of channel of distribution (resale and wholesale market), or the bases of prices.

Under this discussion, we shall look at the type of market on the basis of prices.

Types of Market (On the Basis of Prices)

1. Perfect Competition/Market
 2. Imperfect Competition/Market
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1. Perfect Competition/Market

A perfect market is a market structure in which prices are determined by the forces of demand and supply. It is a market without government intervention. It should be noted that in the real world a perfect market does not exist in its pure form.

Features of a Perfect Market

- a. Free entry and free exit of buyers and sellers
- b. Homogenous commodity so there will be no room for consumer to prefer one to another
- c. Uniformity of prices. Each single competitor cannot influence price.
- d. Large number of buyers and sellers
- e. There are a large number of buyers and sellers such that no single person can influence price.
- f. Perfect knowledge of the market transactions available to everyone.

Advantages of Perfect Competition

- a. Since there are large numbers of buyers and sellers, it becomes impossible for a single buyer or seller to influence price. This helps to prevent consumer exploitation
- b. The freedom of entry and exit of producers/sellers enhances competition and results in production of high quality products
- c. Normal profits are earned by firms in the long run. Since there is no room to make abnormal profits, this brings about efficient allocation of resources.
- d. Consumers benefit maximally since there is no room to make abnormal profit

Disadvantages of Perfect Market

- a. It leads to waste of resources. There is capacity underutilization under perfect competition since each firm produces an insignificant proportion of the total output and therefore may not enjoy economies of scale.
- b. Capacity under-utilization may lead to laying off workers and unemployment of labour.

2. Imperfect Competition/Market

An imperfect market is a market in which the forces of demand and supply are not allowed to operate freely. There are different degrees of regulations of the market forces. In practical terms, it is imperfect competition that operates in most markets

Types of Imperfect Markets

- a. Monopolistic competition
- b. Oligopoly
- c. Duopoly
- d. Monopsony
- e. Oligopoly
- f. Monopoly

a. Monopolistic Competition

This is a market situation in which there are many producers or sellers producing or selling identical but non-homogenous commodity. Goods are non-homogenous because of the branding of the commodity. Examples include daily newspapers from different publishing houses, producers of several bottled non-alcoholic drinks, etc.

b. Oligopoly

An Oligopolistic market is one in which there are few producers or sellers but many buyers. Large capital requirement may limit the buyers. Examples are network owners like MTN, Glo Network, etc. Oligopoly is more competitive than monopoly but it is less competitive than monopolistic competition

c. Duopoly

This is a market in which there are only two sellers or producers of a commodity but there are many buyers.

d. Monopsony

A monopsony is market situation in which there is a single buyer but there are many buyers.

e. Oligopsony

This is a market situation in which there are few buyers and many sellers of a commodity.

f. Monopoly

Monopoly is a market situation in which a producer is the only seller of a particular good that has no close substitute. By implication, a monopolist can charge whatever price it wants and consumers are left with no choice than to purchase the product even at high prices.

Features of Imperfect Market

- a. Heterogeneous commodity
- b. There is only one or very few buyers and/or sellers
- c. There is an imperfect knowledge of market
- d. There is no free entry into or exit from the market
- e. Preferential treatment exists since there is no uniform prices

Price and Quantity Determination under Perfect Competition

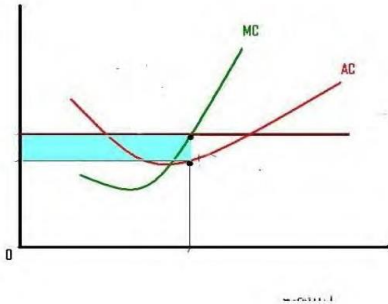
In a perfect market, also known as a competitive market or perfect competition, the buyers or sellers cannot influence the prices of goods and services. This is because there are many buyers and sellers or firms in the market. Price and quantity are determined by the interaction of the forces of demand and supply.

The perfect competitor produces the most profitable output where his marginal cost equals marginal revenue. Any production beyond this point will lead to lower profits because the marginal cost of production will be higher than the marginal revenue.

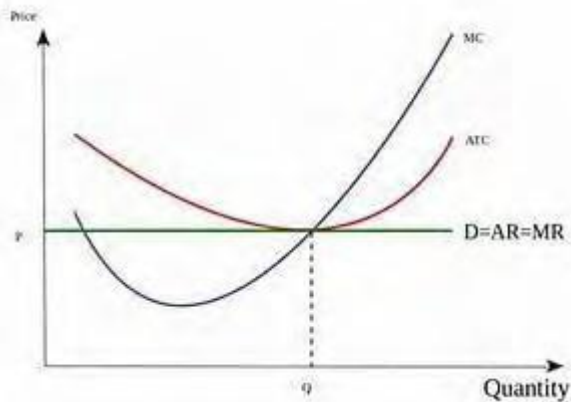
Short Run and Long Run Position of a Perfect Competitor

In the short run, his marginal and average cost of production falls with increasing output. He can therefore sell at a higher price than his marginal cost of production, thereby earning

abnormal profit. The rectangle ABC in the diagram below represents the abnormal profits where price or average revenue is higher than average cost of production.



The perfect competitor can only make normal profits in the long run as he is in equilibrium. Equilibrium is attained when $MC=MR=AC=AR=P=D$. He makes maximum profits at the point where $MC=MR$.



Price and Quantity Determination Under Monopoly

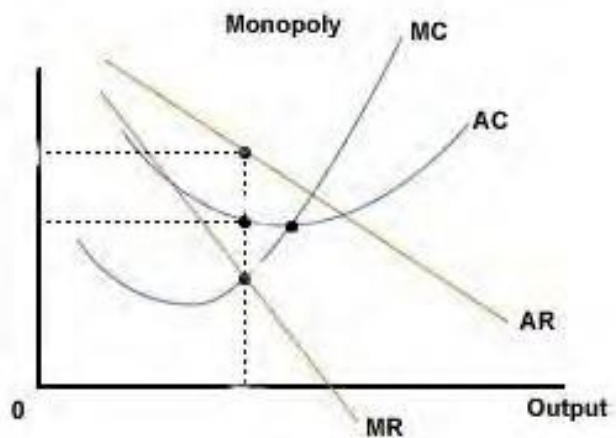
A monopolist has the power to control either price or output. This is due to the fact that he is the only producer or supplier of a particular commodity. During periods of low demand, he can restrict output by leaving some factors of production idle or by hoarding to maintain high prices.

During periods of high demand, he would increase output in order to make high profits. He makes maximum profits where marginal costs equal marginal revenue. The monopolist will consider the elasticity of demand for his commodity to fix prices. If the demand is inelastic, he will charge higher prices, but if the demand is elastic, he will charge lower

prices in order to earn higher revenue and profits.

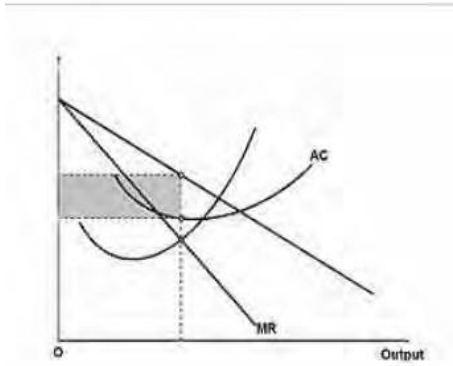
Short Run and Long Run Position of a Monopolist

The monopolist has a downward-sloping demand curve. This makes it possible for him to make abnormal profits in the short run and in the long run by either increasing or decreasing supply. In the diagram below, EDFG represents the abnormal profits of the monopolist both in the long run and in the short run.



Oligopoly Price and Quantity Determination

If an industry is composed of few firms each selling identical or homogeneous commodities and having powerful influence on the total market, the price and output policy of each is likely to affect the other therefore they will try to promote collusion. The demand curve would be elastic. The optimum price for a collusive oligopolistic is shown at point G. The price is identical to the monopoly price, it is above MC and earns the colluding oligopolistic a handsome monopoly profit.



In case there is product differentiation an oligopolistic can raise or lower his prices without any fear of losing customers or of immediate reactions from his rival.

EVALUATION (STUDENTS)

- i. Explain the Concept of Markets
- ii. State the types of Market
- iii. Explain the Price and Quantity Determination under Perfect Competition, monopoly, duopoly and oligopoly

Assignment:

1. What is a market structure?
2. List four types of market structures.
3. Explain two features each of:
 - i. Perfect competition
 - ii. Monopoly
4. Why is a monopolist called a price maker

TOPIC: INDUSTRIES IN NIGERIA

The meaning of the word “industry” has undergone several changes. Its original Latin word *industries*, means “diligent activity directed to some purpose”, while its French version *industries*, means “activity”, “ability”, and a trade or occupation. Industry as a word (first recorded as a word in 1475) originally meant “skill”, “a device”, and “diligence” as well as a “trade”. Therefore, industry can be defined as commercial production and sale of goods or a specific branch of production and trade. In these sense, industry refers to a collective term for a group of activities directed to the production of a given class of commodities or a group of firms engaged in the same area of production, example, all firms producing textiles belong to the textile industry.

Firm– this refers to a single unit or entity that carries out production of goods or services. It is a single independently administered business unit of an industry.

Factory and Plant – Factory is an industrial building where laborers manufacture goods or supervise machines processing one product into another. Typically, factories gather and concentrate resources such as labour and capital, e.g. shoe factory, whereas plant is an asset of a business which includes land, buildings, machinery and all equipment permanently employed. Example is electric plant or power plant.

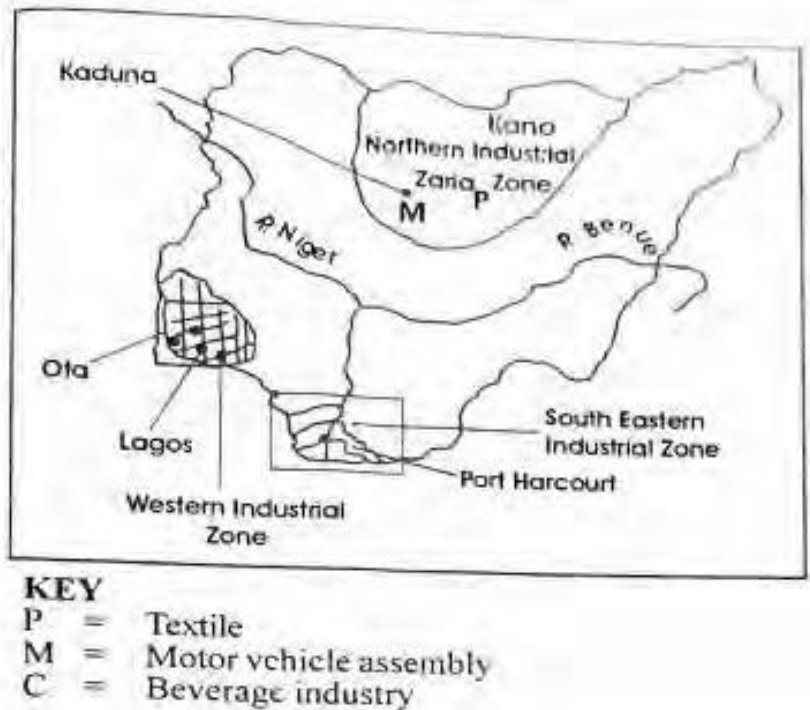
Industrialization – this involves the establishment of as many industries as possible. It is the process of increasing the numerical number of industries in an economy.

Industrial Estate – an industrial estate also known as industrial park is an area zoned and planned for the purpose of industrial development.

Nigeria has a diverse range of industries, broadly classified into four main sectors:

1. **Primary Sector:** Involves the extraction and production of raw materials, such as agriculture, mining, and forestry.
 - i. *Agriculture:* Nigeria has a significant agricultural sector, with crops like cocoa, cassava, palm oil, and rubber being major contributors.
 - ii. *Mining:* Rich in natural resources, Nigeria has an active mining industry, extracting oil, natural gas, coal, and various minerals.
2. **Secondary Sector:** Encompasses manufacturing and construction, where raw materials are processed into finished goods.
 - i. *Manufacturing:* Industries such as textiles, cement, food processing, and automobile assembly contribute to the manufacturing sector.
 - ii. *Construction:* The construction industry plays a crucial role in infrastructure development.
3. **Tertiary Sector:** Involves services and includes activities like banking, education, healthcare, and telecommunications.
 - *Services:* Dominating the economy, services include telecommunications, banking, education, healthcare, and tourism.
4. **Emerging Sectors:** Emerging sectors in Nigeria represent areas where new technologies, business models, or trends are shaping the industry's future.
 - i. *Technology:* The technology industry is growing, with a focus on software development, IT services, and startups.
 - ii. *Renewable Energy:* Nigeria is investing in renewable energy sources like solar and wind power.

Major Industrial Zones in Nigeria and Associated Industries



1. North Central Zone:

Abuja (Federal Capital Territory): While primarily administrative, it has some emerging industries, including information technology and services. Other states like Nasarawa, Niger, Kogi, Kwara, Plateau, and Benue have various industries, including agriculture, solid minerals processing, and services.

Note: Kano is not really a North Central zone, but it has a long-standing history in manufacturing and is known for textile industries, tanneries, and food processing.

2. Midwestern Zone (South-South and South-Southwest):

Edo State is popularly known for oil and gas activities, with industries related to petroleum and petrochemicals. Delta State has a significant oil and gas presence, with oil refineries and petrochemical industries.

Port Harcourt (Rivers State) is also a key player in the oil and gas sector, with refineries and petrochemical industries. The Bonny LNG terminal is also a major presence.

3. Western Zone (Southwest):

Lagos State is a major economic hub, hosting a range of industries including manufacturing, finance, technology, and media.

- Ikeja is known for electronics and electrical goods manufacturing.
- Apapa hosts the country's largest seaports, supporting shipping and logistics industries.

Ogun State, particularly around the Ota and Agbara axis, is an industrial center with various manufacturing activities, including pharmaceuticals and consumer goods.

Problems of Manufacturing Industries in Nigeria

1. Infrastructure challenges: Inadequate infrastructure, such as unreliable power supply and poor transportation networks, can hamper industrial growth.
2. Policy environment: Changes in government policies, regulations, and economic policies can impact industries positively or negatively.
3. Security concerns: Security issues, particularly in certain regions, can disrupt industrial operations and investments.
4. Access to finance: Limited access to funding for businesses, especially small and medium enterprises (SMEs), can hinder their growth and expansion.
5. Global economic trends: Nigeria's industries are influenced by global economic conditions, affecting trade, commodity prices, and foreign investment.
6. Skilled labor shortages: Industries may face challenges due to a lack of skilled labor, impacting productivity and innovation.
7. Dependency on oil: Nigeria's heavy reliance on oil revenue can make its economy vulnerable to fluctuations in global oil prices.

Possible Solutions to Problems of Manufacturing Industries in Nigeria

1. Invest in renewable energy sources, improve transportation networks, and collaborate with the government and private sector to address infrastructure gaps.
2. Advocate for stable and transparent policies, engage in constructive dialogue with policymakers, and participate in industry associations to influence policy decisions.
3. Encourage financial institutions to develop tailored financing options for manufacturing, seek international funding, and support government initiatives promoting access to finance for businesses.
4. Collaborate with educational institutions to tailor training programs to industry needs, offer apprenticeships, and engage in continuous skills development for existing employees.
5. Promote exports by improving product quality, complying with international standards, and engaging in trade agreements. Advocate for favorable trade policies to enhance market access.
6. Encourage local sourcing of raw materials, support local suppliers, and work with the government to develop policies promoting a sustainable and reliable supply chain.

EVALUATION (STUDENTS)

1. Explain the meaning of Industry, Firm, Plant and Industrialization
2. Draw and Label and explain the Industrial Zones in Nigeria
3. State the problems and solutions of Manufacturing Industries in Nigeria

Assignment

1. Identify 5 problems of manufacturing industries in Nigeria.
2. Identify 5 possible solutions to the problems of manufacturing industries in Nigeria.

WEEK: FIVE

TOPIC: ELEMENTARY THEORY OF FISCAL POLICY

Public Finance and Fiscal Policy

Public finance deals with the financial activities of government with respect to revenue and expenditure. It shows government policy measures on generating revenue (income) and allocating expenditure, borrowing and lending, receiving and spending by the federal, state and local governments and their agencies to achieve specific objectives.

Objectives of Public Finance

Public finance aims at

1. Effective and efficient allocation of resources among the different sectors of the economy.
2. Improving the level of production by reducing tax, granting subsidies and increasing government investment in productive activities.
3. Re-distribution of income and productive goods among the various classes in the economy.
4. Ensuring price stability by curtailing inflationary and deflationary tendencies in the economy to maintain reasonable prices of goods and services over time.
5. Creating an improved and favorable balance of payments through increased taxation, import duties, subsidies, etc
6. Creation of employment opportunities thereby reducing the level of unemployment to the barest minimum.
7. Development of a good and appropriate fiscal policy for the government.
8. Promotion of social welfare through the provision of infrastructural goods at reduced prices.
9. Revenue generation through creation of diverse avenues by which government can derive more revenue.

Fiscal Policy

Fiscal policy involves the use of income and expenditure instruments to regulate economic activities. It is the use of government revenue through taxation and other sources with a definite pattern of expenditure to influence the economy.

Objectives of Fiscal Policy

1. Fiscal policy can be used by government to attain rapid economic development.
2. It can be used for revenue/income generation for government use.
3. It can create more job opportunities for the people.

4. Industrial growth and development can be achieved through a good fiscal policy.
5. Fiscal policy can be useful in the allocation or redistribution of a country's resources or wealth.
6. It can enhance higher productivity level of workers.
7. Inflation can be controlled e.g. through increased taxation on personal income, reduced government spending, etc.
8. A good fiscal policy can enhance balance of payment equilibrium. For instance, government can impose tariff on some imported good to conserve scarce foreign exchange.

Tools of Fiscal Policy-Government Revenue and Expenditure

Government Revenue

Government (Public) revenue is the total income accruing to the government at all levels (federal, state, local) from various sources to run the country.

This can be in the form of *Capital Revenue or *Recurrent Revenue

Capital Revenue: this is revenue from irregular sources for meeting expenditure on heavy capital projects e.g. Grants, loans tied to a project, transfers from current revenue, etc.

Recurrent Revenue: is revenue from regular sources e. g. taxation, fees, licenses, fines, interests on loans, etc.

Sources of Government Revenue

1. Taxes on individuals and corporate bodies in form of direct or indirect taxes.
2. Loans – government can obtain loans from internal and/or external sources to execute projects.
3. Fees, Fines, Charges and Licenses – these include court, visa and passport fees, vehicle license, postage charges, etc
4. Rents, Rates and Royalties – government also earns revenue from water buildings and properties owned by the government. Royalties are revenue from the mining sector of the economy.
5. Grants and aids from foreign countries and international bodies or financial organizations e.g. World Bank, UNICEF, etc.
6. Interests, dividends and profits from government directly investments. This is revenue from government-owned business enterprises or joint ventures.

7. Others – other sources of income include levies, penalties, donations, disposal of assets, etc.

Government Expenditure

Government expenditure refers to the total expenses incurred by public authorities at all levels of administration (federal, state, local) in the country. This includes both recurrent and capital expenses.

Capital Expenditure

Capital expenditure are expenses on long-term capital projects e.g. roads, bridges, schools, hospitals, industries, sinking of bore holes, building of offices, etc.

Recurrent Expenditure

These are expenses on the day-to-day running of activities of government which are not permanent in nature. These include expenses on salaries, bills, stationeries, maintenance and repair of infrastructures, etc.

Items of Government Expenditure

There are different areas and sectors which government expends on. These include the following:

1. General administration: areas requiring government spending include:
 - a. the civil service
 - b. the legislature
 - c. the judiciary
 - d. the executive
 - e. embassies outside the country
 - f. political appointees
 - g. other government departments and parastatals
2. Economic services which include agriculture, trade, industry, commerce, mining, communication, forestry, power, etc.
3. Social services including infrastructures (roads, hospitals, electricity, water, etc), education, health-care delivery, markets, recreational facilities, environmental sanitation, etc.
4. Defense and National security – training and maintenance of armed forces (army, navy, air-force) and the police. Government also expends on arms and ammunitions to ensure the protection of its citizenry.
5. Transfer Services – these are expenses on servicing of government/public debts, payment of pensions and gratuities, loans to local authorities and friendly nations, grants and aids, etc.

DEFINITION AND USES OF TAX

- (1) Tax is a compulsory levy imposed by the government, paid on income and gains occurring to individuals and organization as well as production and consumption of goods and services, and disposal of properties for the common good of all
- (2) It is the compulsory payment made by individuals and organizations to the government in order to meet her expenditure.

USES/REASONS FOR/ IMPORTANCE OF TAXATION

Taxes are collected for the following reasons

1. Revenue Generation: the main purpose of imposing taxes is to generate revenue for financing government activities.
2. Discourage consumption of certain goods: certain goods like tobacco, alcohol are considered harmful to the health of the people, hence government impose heavy tax on them.
3. Control and stabilize the economy: taxes are imposed to control and stabilize the economy especially during inflation and recession. During inflation, taxes are raised to reduce the disposable income and reduce taxes to increase disposable income during economy downturn.
4. Redistribute income: government can through progressive tax reduce income
5. Promotion of economic growth: if government wants to increase output, it reduces tax paid by companies or give tax holiday to infant industries. It will increase employment generation and expansion of the economy.
6. Control of balance of payment problem: if important bill is higher than export, balance of payment deficit will arise. Tax on imports will reduce imports and encouragement of export will bail the country out of its financial difficulties.
7. Prevention of dumping: Tax increase on imports will prevent dumping of cheap and undesirable goods into the local market.
8. Protection of infant industries: Newly established industries are protected from stiff competition from imported goods. Taxes on imported goods are increased, while home industries are granted tax exemption or tax holiday. Home industries can survive.

9. Improvement in employment generation. Government can introduce tax cut to stimulate demand and increase output. This promotes employment for the teeming jobless youths.

SYSTEMS OF TAX

There are three systems of tax. They are: (i) progressive (ii) proportional tax (iii) regressive tax

1. PROGRESSIVE TAX

A tax is progressive if the rate increases as income increases. An individual with high income pays more than a low-income earner. Percentage or rate of tax increase as income increases. Example personal income tax was known as Pay as You Earn (PAYE).

Example: A man earns ₦5,000 and pays 3% which is ₦ 150. The other earns ₦50,000 and he pays 10% which is ₦5,000.

ADVANTAGES OF PROGRESSIVE TAX

- (i) It is based on ability to pay
- (ii) It is productive and assures stable income for the government
- (iii) It is equitable: high income earners pay more while low-income earners pay less.
- (iv) It is economical: The cost of and collecting it is low and easy.

DISADVANTAGES OF PROGRESSIVE TAX

- (i) Tax evasion: Potential tax payers like politicians and business tycoons are notable tax evaders.
- (ii) Injustice: high income earners study and work very hard and deserve to enjoy their sweat instead of punishing them with high taxes.
- (iii) Discourage capital formation: progressive tax discourages savings and investment.
- (iv) It is arbitrary: there is no standard or yardstick for fixing rate of tax. For example, the then government of Osun state in 1999 to 2000 deducted about 10% from the salary of all workers.

1. PROPORTIONAL TAX

This is a system of tax in which the same rate is charged to every tax payer irrespective of the level of income. If the tax rate is 5%, a person earning ₦2,000 pays ₦100, ₦10,000 pays ₦500 and 50,000 pays ₦2,500.

ADVANTAGES OF PROPORTIONAL TAX

- (i) It is simple and easy to understand by all
- (ii) It is easy to calculate
- (iii) It does not affect pattern of income distribution

DISADVANTAGES OF PROPORTIONAL TAX

- (i) It breeds inequality
- (ii) It is less productive: It brings less income to the government
- (iii) Has negative impact on the economy

3. REGRESSIVE TAX

This is a system in which tax rate decreases as income increases. Higher income earners pay less tax than low-income earners. Example, sales tax. Again, Mr. A. Earns ₦1,000 and Mr. B earns ₦4,000 monthly. If Mr. A pays ₦100 and Mr. B pays ₦200. Mr. A pays more tax than B because he pays 10% while Mr. B. Though ₦200, percentage is 5.

TYPES/CLASSIFICATION OF TAX

Tax is classified into two. They are 1 direct and 2. Indirect tax

1. DIRECT TAX

This is a tax levied directly on income of individuals and profits of companies by the government. The burden of tax is borne totally by the tax payer. Examples: personal income tax, capital gain tax, company tax, education tax, poll tax.

ADVANTAGES OF DIRECT TAX

- (i) It is equitable and progressive
- (ii) **Certainty:** Tax payers are aware of how and when to pay the tax
- (iii) **Economical:** The cost and time of collecting it is low and short

It is deducted from source – before the payer collects his pay

- (iv) Easy and convenient to pay. E.g. P.A.Y.E.
- (v) It is non-inflationary – it does not affect the price system
- (vi) It reduces inequality because of its progressive nature

DISADVANTAGES OF DIRECT TAX

- (i) It may discourage production of goods on which taxes are levied. Such taxes will increase their cost of production.
- (ii) It reduces the savings ability of tax payers

- (iii) It discourages investment as it reduces the amount that companies can plough back into the business.
- (iv) It reduces workers disposable income. Hence their purchasing power.
- (v) It is not universal as it is imposed on only some selected sources of income.
- (vi) It may lead to tax evasion whereby tax payers fill wrong tax returns to reduce the amount they will pay.

INDIRECT TAX

Indirect taxes are taxes levied on production and consumption of goods and services. Examples are custom duties; value added tax, sales tax, etc.

TYPES OF INDIRECT TAX

1. Custom duties: these are in two forms – (a) import duties – taxes imposed on imported goods (b) export duties – taxes levied on a nation's export goods
2. Value Added Tax (VAT): Taxes levied on goods and services at each stage of production.
3. Exercise duties – taxes imposed on goods manufactured in a country e.g. beer and cigarette. It is also used to check the consumption of some goods.
4. Purchase tax – imposed on specified goods and paid by wholesalers. It is a percentage of the wholesale price.

ADVANTAGES OF INDIRECT TAX

- (1) It is convenient as it is paid when goods and services are purchased
- (2) It has wide coverage – it is paid by almost all income earners.
- (3) It is a source of generating a substantial part of government revenue.
- (4) Less burden on payers as consumers pay in small amounts as they make purchases
- (5) Protection of local infant industries when heavy taxes are imposed on imported goods.
- (6) It is used to correct balance of payment deficit High import duties are used to discourage imports and raise the level of exports.

DISADVANTAGES OF INDIRECT TAX

1. Indirect taxes are regressive in nature as both high and low income earners pay the same amount on goods purchased.
2. They are inflationary in nature as high taxes may increase production costs which will result in high commodity prices.

3. Uncertainty and inaccuracy – the amount to be generated from indirect taxes cannot be easily ascertained.
4. It discourages investment: high custom duties on raw materials and finished goods discourage intending investors and reduces the level of production.
5. It is difficult to determine the actual tax burden the percentage of tax burden borne by producers, wholesalers/retailers consumers.
6. Indirect taxes are difficult to evaluate and remit to appropriate authority by collecting agencies – producers and sellers.

INCIDENCE OF TAXATION

Incidence of taxation refers to who bear the burden of tax i.e. who finally pays an imposed tax. For direct tax, the burden is borne by the income earner or the tax payer. But for indirect tax, it may be difficult to determine who actually bears the burden of taxation. This depends on the elasticity of demand for the commodity which is taxed. The burden of taxation may be borne by the producer/seller or the consumer or shared between them.

- (i) Incidence of indirect tax when demand is perfectly inelastic: the entire burden of tax is shifted on consumers via higher prices since demand will not be affected i.e. quantity demanded remains the same. This illustrated thus:
- (ii) When demand is perfectly elastic, the producer or seller bears the whole burden of taxation. This is because any increase in price may make demand fall to zero.
- (iii) When demand is fairly elastic, the burden of taxation will be shared between the producer/seller and the consumer. The incidence/burden is borne more by the seller and less by the buyer/consumer.
- (iv) When demand is fairly inelastic, the tax burden falls more on the buyers and less on the seller.

When price is increased, demand is fairly reduced as consumers still bear tax incident ab while sellers bear be.

- (v) Unitary demand – here, tax burden is shared equally between the seller and buyer
The seller bears be tax burden and seller bears ab.

EVALUATION (STUDENTS)

1. Explain the meaning of Public Finance and Fiscal Policy
2. Analyze the Tools of Fiscal Policy- Taxation and Expenditure
3. Explain the meaning and uses of Tax

ASSIGNMENT

Objective

1. Public finance deals with
 - a. aggregate demand
 - b. financial accounting
 - c. government revenue and expenditure
 - d. scarce resources and unlimited wants
 - e. none of the above
2. Which of the following is not an objective of public finance
 - a. Revenue generation
 - b. Provision of employment opportunities
 - c. Price stability
 - d. Production concepts
 - e. Improved balance of payment
3. One of these is not a source of government revenue
 - a. Subsidy
 - b. taxes
 - c. loans
 - d. licenses
 - e. fines
4. Government expenditure does not include
 - a. Social services
 - b. Household foods and drinks
 - c. Environmental sanitation
 - d. Education
 - e. Health-care delivery
5. Which of the following is regarded as capital expenditure? Expenditure on
 - a. social services
 - b. transport
 - c. pensions
 - d. food
 - e. sinking of boreholes

THEORY QUESTIONS

1. Of what importance is taxation to Nigeria's economy?
2. State 5 objectives and 5 limitations of Fiscal Policy

PRE-READING ASSIGNMENT

Read up Balanced and Unbalanced Budget

WEEK: SIX

TOPIC: Balanced and Unbalanced Budget

A budget is defined as a statement of projected income and expenditures of an individual, family, organization and nation over a given period of time. The Budget can be used as organizational tool that guides the achievement of corporate goals.

A budget can be categorized into 2 parts –

(1) Income (2) expenditure

Income part

It is made mostly on how much to spend or consume based on how much they may be expecting as income.

Expenditure part

This one exists in a situations where how much is projected to be spent.

When income expected exceeds the expenditure or vice-versa we say we have an unbalanced budget.

However, when the projected income equals the expenditure we say we have a balanced budget.

BALANCED BUDGET: This occurs when the government's total estimated revenue is **equal** to its total proposed expenditure for the year. **It is derived as;** Total Revenue = Total Expenditure

In Economics, A balanced budget is often considered "neutral." The government is putting back into the economy exactly what it's taking out. In classical economics, this was seen as the ideal, prudent, "fiscally responsible" way to manage a government. While unbalanced budget occurs when government revenue and expenditure are **not equal**. This is the norm for most countries.

SURPLUS AND DEFICIT BUDGETS

Budget Surplus

Budget surplus means when the projected income or revenue is greater than the projected expenditures in a given period of time. On the other hand, in this type of budget, not all estimated revenue is proposed to be spent in that year i.e. there will be reserve. It is used to check inflation.

Deficit Budget

This is the direct opposite of surplus budget. When the government's total proposed expenditure for a period is greater than the total estimated revenue. For example in 2007 Nigeria has a total expenditure of ₦2.52 trillion but could only realize revenue of ₦2.43 trillion. We can say that Nigeria has a budget deficit of ₦0.9 trillion naira. It can be used to increase capital formation.

Ways of financing deficit budget and their effects (e.g. debt burden, debt relief debt buy back)

- (1) **Borrowing from the banking sector:** - it can be financed through borrowing from the banks or other financial institutions.
- (2) **Increase in tax:** - government can also use fiscal policy like increase in tax to finance deficit.
- (3) **Borrowing from the banking sector:** - deficit budget can be financed through borrowing from the banks or other financial institutions.
- (4) **From the Central Bank:** -Central Bank can lend money to the government from the reserve.
- (5) **Borrowing from internal source:** - they can use instruments like bonds or development stock.

Effects of Deficit Budget Financing

As we have positive effect also we have negative effect of deficit budget financing

Positive effect

- (1) It accelerates development and growth of a nation when the debts are channeled for development purpose

- (2) It assists in the financing of important capital, e.g. additional power plants to increase electricity supply.

Negative Effect

- (1) It can lead to fall in standard of living and deterioration of health condition.
- (2) It may also lead to violent change in government. Nigeria's case is a good example.
- (3) Life expectancy may be short. Galloping inflation, unemployment and general economic shortage may set in.

EVALUATION (STUDENTS)

- (i) Explain the meaning of balanced budget
- (ii) Explain the meaning of surplus and deficit budget
- (iii) Highlights the ways of financing deficit budget and their effects (e.g. debt burned, debt relief, debt buy back)

ASSIGNMENT

Objective Test

- (1) Budgets is categorized into (a) income and expenditure (b) naira and kobo (b) Nigeria and Ghana (d) expenditure and money
- (2) Negative effect of deficit budget financing is (a) it can lead to fall in standard of living (b) it can boost the productivity (c) it can lower the individual income (d) none of the above
- (3) One of the reasons for balanced budgets is (a) to build a beautiful house (b) to close recession gap (c) to create employment opportunities (d) to make president happy
- (4) When income or revenue is greater than expected expenditure it means
- (a) There is unbalanced budget
- (b) There is balanced budget
- (c) There is balance of payment
- (d) There is balance sheet

(5) One of ways of financing deficit budget is

- (a) Retrench of workers
- (b) Buying on credit
- (c) Increase in tax
- (d) Selling goods and services

ESSAY QUESTIONS

- (1) How does a government finance budget deficit SSCE.
- (2) What do you understand by budget? SSCE
- (3) What are the effects of Deficit budget financing
- (4) Explain what you know about surplus budget
- (5) What are the reasons why the government has to plan a balanced budget?